VIAVI Solutions

VIAV | NASDAQ | 2026-10-11

Q4 2027 model ceiling: USD 56.38

Analytical Base 40/60 = 67 | Growth-led upside at the dated price; dynamic Upside Driver

Owner authorized October 11, 2026: 20x fully expensed forward-four-quarter operating profit, less dated pro-forma financial claims, divided by end-window common and award shares plus dynamically solved convertible premium shares. Principal is a cash claim; only the conversion premium dilutes common shares. No unexplained terminal discount remains.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD million and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: USD 45.46 per share (2026-10-09 16:00 America/New_York regular close); 245.922 million common shares (2026-09-23); estimated equity capitalization USD 11,179.6 million. October 2 proxy gives September 23 outstanding common shares. October 9 Nasdaq regular close. Common market cap excludes the separate award reserve and conversion premium. This dated common-share snapshot is separate from forecast diluted shares.

Growth or re-rating: 100% growth under the owner's sequential-percentage heuristic (0% re-rating / 100% growth). Uses the dated 2026-10-09 16:00 America/New_York regular close price, Q4 2026 ceiling and Q4 2027 ceiling at the artifact's own valuation basis. This compares two percentage moves with different denominators; it is not an additive return attribution or a measurement of actual P/E expansion. The classification changes with price and forecasts.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	796.9	20x	276.470	56.38

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

All consolidated businesses once, including Spirent. All production and operating stock compensation, ordinary integration costs and acquired-intangible amortization are expensed. Fixed pro-forma net claims include a USD150m operating cash reserve and the full USD19m DORC maximum consideration. No future cash accumulation is credited in addition to earnings.. Owner authorized October 11, 2026: 20x fully expensed forward-four-quarter operating profit, less dated pro-forma financial claims, divided by end-window common and award shares plus dynamically solved convertible premium shares. Principal is a cash claim; only the conversion premium dilutes common shares. No unexplained terminal discount remains.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD million unless a different unit is stated.

Approved valuation and completed cost bridge

The owner explicitly approved 20x fully expensed forward-four-quarter operating profit on October 11, 2026. The active Q4 2027 ceiling is USD 56.38, or 1.24x the dated USD 45.46 close, about 24% modeled upside. The earlier USD 50-65 illustration used an unclear horizon and discount; a comparable target-revision percentage is unavailable.

The active window is Q4 2027 through Q3 2028. It includes USD 796.926m fully expensed operating profit, USD 352.2m pro-forma net claims and 276.470m shares after the conversion-premium solve. The method is operating-profit based, not a literal net-income P/E. The July 9 DORC acquisition's USD 14m base and up-to-USD 5m contingent consideration are fully reserved, with no separate speculative revenue uplift.

Existing acquired-intangible amortization follows the disclosed fiscal schedule: FY2027 USD 77.6m, FY2028 USD 67.9m, FY2029 USD 63.4m, FY2030 USD 62.4m and FY2031 USD 40.7m. FY2027 uses a 14/53 first-quarter allocation and 13/53 in each remaining quarter. Later fiscal amounts are spread evenly over four quarters. DORC adds a labeled USD 0.5m quarterly allowance from the acquisition quarter based on USD 10m intangibles over five years. Its allocation is not reported; the annual bound is USD 0-3.8m. The resulting September total acquired amortization is USD 20.998m. Adjusted guidance excludes acquired amortization; the fully expensed bridge is an ASTRA estimate rather than issuer GAAP guidance. Matched noncash addbacks prevent an amortization change from manufacturing operating cash.

The July USD 11m tariff refund is not added again to opening cash or modeled profit: September guidance already embeds a refund benefit. The June balance anchors the funding bridge. After reserving all USD 19m DORC consideration, all 32 funding checks retain at least USD 269.9m cash against the USD 150m minimum. The actual purchase-price adjustments and DORC amortization remain follow-up items.

Conversion premium is recomputed at every target. Principal stays a cash claim; premium shares equal max(0,18.132375 minus 250/target). Common and award shares are stressed independently of contractual conversion shares. Future accumulated cash does not also increase the valuation. The analytical Base rises from the legacy 60 (36/60) to 67 (40/60), reflecting updated operating evidence and retained risks. The new portfolio row begins at 67; no existing Excel Base or override is changed.

VIAVI is becoming a more attractive operating business as optical networks get faster and more complicated. A bad laser, connector, optical engine or fiber path can waste an expensive computing system. Testing therefore gains value even when the customer is trying to reduce cost per transmitted bit. The opportunity is real, but it belongs to VIAVI’s instruments, software, support and qualified measurement workflows. It does not equal the revenue of the transceiver, optical switch, GPU rack or the entire automated test system.

Research refreshed October 11, 2026. The explicitly approved operating-profit method now replaces the historical, unreproducible staged illustration.

At the October 9 Nasdaq regular-session close of $45.46, the adopted fully expensed 20x model gives a Q4 2027 forward-four-quarter ceiling of $56.38, approximately 1.24x the quotation. This is a conditional model value, not a promised return. The business case is principally growth in operating profit. At the dated price, the owner's exact Upside Driver is 100% Growth: the Q4 2026 target is below price, while Q4 2027 is above it. This is a sequential-percentage heuristic, not a literal earnings-versus-multiple decomposition, and must recalculate when prices or forecasts change.

What the company actually sells

Network and Service Enablement, or NSE, combines laboratory and production instruments, field testing and monitoring, and resilient position, navigation and timing products. VIAVI acquired Spirent's high-speed Ethernet, network security and channel emulation activities in October 2025. Those activities now contribute to NSE and are already inside the reported data-center ecosystem. Inertial Labs is also consolidated. Neither acquisition should be added a second time to an end-market growth estimate.

Optical Security and Performance Products, or OSP, is a different economic business. It supplies optical coatings and materials used in anti-counterfeiting, sensing, aerospace and related applications. It has physical manufacturing investment and loading requirements. Management describes it as a steadier growth and cash-generation business. It is not a second route to capitalize every dollar of AI optical spending.

Fiscal 2026 revenue was $1,518.3m, comprising NSE $1,182.9m and OSP $335.4m. The annual segment table reports $312.9m of segment operating income before $207.8m of unallocated expenses. Consolidated GAAP operating income was only $105.1m. This is why a segment-margin shortcut would materially overstate the fully expensed numerator.

The latest quarter, ended June 27, produced $443.1m of revenue: NSE $353.9m and OSP $89.2m. Management put data-center activities at approximately half of NSE and aerospace/defense at approximately 17%. Those are about $177.0m and $60.2m, respectively. They are percentages of NSE, not of the entire group. Spirent supplied $47.7m within the consolidated revenue. Traditional telecom remains meaningful and currently grows much more slowly.

Why optical testing can grow faster than optical unit count

Higher speeds require tighter measurements of optical power, dispersion, insertion loss and signal integrity. At 1.6T, functional testing becomes a larger part of the production process. A customer also wants to identify defects before attaching an expensive ASIC and memory to an optical assembly. Testing can occur at the photonic die, assembled optical engine, interconnect platform and completed system. These are distinct test insertions, but they are not automatically distinct complete VIAVI systems sold for each manufactured unit.

Management's August discussion provides important counter-evidence to a simple unit-times-price extrapolation. A 1.6T tester can test one 1.6T module, two 800G modules or four 400G modules. The box may cost roughly 50% more than its predecessor, but component costs rise and cost per bit falls. Existing instruments can be redeployed to slower products. The revenue opportunity therefore depends on net test time, parallelism, utilization, replacement cycles and production growth as well as nominal speed.

The September 14 SENKO, Advantest and VIAVI announcement is useful engineering evidence. The demonstration brings together detachable optical connectivity, automated semiconductor test and VIAVI's photonic measurements. Its illustrative 40 units per hour translates to 28,800 units in a continuously operating

30-day month, before downtime, yield loss or changeovers. That arithmetic describes a simulated throughput example, not an order, an installed production fleet or a contractual VIAVI revenue run rate.

The invoice boundary matters. Advantest or Teradyne can supply the electronic tester; a prober supplier can supply the mechanical and electrical contact platform; VIAVI can supply optical instruments; an integrator may assemble the workflow. A design win in this ecosystem does not mean VIAVI captures all of those invoices. The adopted model reserves most of the gross incremental opportunity for existing growth, other vendors and uncertain timing.

Competitive position and the limits of the moat

Qualified measurements, instrument libraries, automation interfaces and familiarity with the customer's development flow can create switching costs. The customer benefits when the same measurement methods transfer from the lab to manufacturing and later to field troubleshooting. Management says it works with all five major transceiver manufacturers, with deeper engagement at four. That is a management statement about engagement, not independently verified unit market share.

The company also describes itself as dominant in merchant OCS testing. Internal customer-built equipment remains an alternative. Keysight, EXFO and other measurement suppliers can compete in overlapping applications, while semiconductor test partners control other portions of the workflow. The old artifact's implication of a broad monopoly is not a sound basis for the forecast.

The customer's cost of a failed optical assembly supports willingness to pay for accurate, repeatable testing. That supports a bounded value-pricing case on new or repriceable orders. It does not establish a scarcity surcharge across existing fixed-price contracts. Nor should the known 1.6T box-price increase be counted as a pure margin gain after it has already improved the reference product mix.

Latest operating evidence and quarter status

The most recent two earnings calls available are April 29 and August 5. The August 17 management conference adds later detail. The September quarter had ended by the research date, but results had not been published. It is therefore guidance and an analytical forecast, never an actual quarter.

The fiscal quarter ending October 3 is a 14-week quarter. For the website's calendar sequence it is mapped to Q3 2026, with that difference explicit. Guidance is $450-460m revenue and a 27.1% midpoint adjusted operating margin. The midpoint gives $123.305m of adjusted operating profit. The model deducts $17m stock compensation, $1m employer payroll taxes on awards, $20.998m acquired-intangible amortization including the DORC allowance and a $3m integration/restructuring reserve, giving $81.307m fully expensed modeled operating profit. These deductions are estimates, not company GAAP guidance.

The July tariff refund and the extra week together benefit guided operating margin by approximately one percentage point. That benefit is not carried into 2027. The June quarter also included a smaller tariff refund. From Q4 FY2026 onward the company excludes employer payroll taxes on stock compensation from adjusted results and recasts comparisons. Comparing old and new adjusted tables without that change would create a false margin improvement.

For December, the reference revenue is $490m. The August 17 discussion supports approaching $500m earlier than the former FY2028 timing, but it is not formal December guidance. A 50% probability of an additional $10m contributes $5m to the active case. The other forward branches begin later, preventing new evidence from silently rewriting the near-term guide.

Calendar 2026 is reconciled explicitly: March and June actual revenue totals $849.9m and actual operating profit totals $86.1m. The September guidance-based forecast and December forecast are then added. Fiscal 2026 ended in June and must not be confused with the calendar-year estimate.

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VIAVI SOLUTIONS INC.
CONSOLIDATED STATEMENTS OF OPERATIONS
(in millions, except per share data)

	Years Ended		
	June 27, 2026	June 28, 2025	June 29, 2024
Revenues:			
Product revenue	$ 1,324.6	$ 912.0	$ 834.8
Service revenue	193.7	172.3	165.6
Total net revenue	1,518.3	1,084.3	1,000.4
Cost of revenues:			
Product cost of revenue	526.7	366.2	335.2
Service cost of revenue	70.8	77.5	75.5
Amortization of acquired technologies	45.4	19.5	13.8
Total cost of revenues	642.9	463.2	424.5
Gross profit	875.4	621.1	575.9
Operating expenses:			
Research and development	262.7	208.7	201.9
Selling, general and administrative	469.2	349.4	333.3
Amortization of other intangibles	22.5	4.8	6.3
Restructuring and related charges	15.9	0.7	13.6
Total operating expenses	770.3	563.6	555.1
Income from operations	105.1	57.5	20.8
Loss on debt extinguishment (Note 11)	(56.7)	—	—
Interest and other income, net	15.3	11.1	21.7
Interest expense	(47.4)	(30.0)	(30.9)
Income before income taxes and equity investment earnings	16.3	38.6	11.6
Provision for income taxes	47.5	4.4	37.4
Equity investment earnings	0.8	0.6	—
Net (loss) income	$ (30.4)	$ 34.8	$ (25.8)
Net (loss) income per share:			
Basic	$ (0.13)	$ 0.16	$ (0.12)
Diluted	$ (0.13)	$ 0.15	$ (0.12)
Shares used in per-share calculations:			
Basic	229.5	222.5	222.6
Diluted	229.5	225.7	222.6

The accompanying Notes to the Consolidated Financial Statements are an integral part of these statements.

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VIAVI FY2026 Form 10-K | Annual report PDF page 53, printed page 52: audited FY2026 income statement; full costs explain why adjusted operating income is not the valuation numerator.

VIAVI SOLUTIONS INC.
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS (Continued)

Information on the Company's reportable segments is as follows (*in millions*):

	Year Ended June 27, 2026		
	Network and Service Enablement	Optical Security and Performance Products	Total
Product revenue	$ 989.2	$ 335.4	$ 1,324.6
Service revenue	193.7	—	193.7
Net revenue	1,182.9	335.4	1,518.3
Cost of revenues	420.9	160.2	
Research and development	231.1	13.5	
Selling, general and administrative	219.5	25.8	
Other segment items[1]	121.4	13.0	
Total operating expense	572.0	52.3	
Segment operating income	$ 190.0	$ 122.9	$ 312.9
Segment operating margin	16.1 %	36.6 %	
Unallocated other expenses			(207.8)
Loss on debt extinguishment			(56.7)
Interest and other income, net			15.3
Interest expense			(47.4)
Income before income taxes and equity investment earnings			$ 16.3
Inventories, net	$ 113.7	$ 41.6	$ 155.3
Prepayments and other current assets[2]	22.0	—	22.0
Assets not allocated to segments			2,528.3
Total assets			$ 2,705.6

(1) Other segment items represents allocation of corporate level operating expenses.
(2) The amount presented represents the prepayments and other current assets attributed to NSE that are reviewed by the CODM. Other NSE related prepayments and current assets are not included as they are not part of the CODM's measure of segment assets.

VIAVI FY2026 Form 10-K | Annual report PDF page 110, printed page 109: segment income is $312.9m before $207.8m unallocated expenses; it is not consolidated GAAP operating income.

Reference revenue and fully expensed costs

Reference calendar revenue is $2,270m in 2027, $2,780m in 2028, $3,340m in 2029 and $3,860m in 2030. Data-center activities contribute $1,100m, $1,500m, $1,950m and $2,360m. This includes continuing 800G/1.6T, OCS, initial CPO, Spirent and scale-across fiber monitoring. It already embeds strong growth; it is not a flat starting point to which the entire AI story is subsequently added.

Aerospace/defense contributes $330m, $400m, $465m and $530m. Traditional service-provider revenue contributes $460m, $470m, $485m and $500m. OSP contributes $380m, $410m, $440m and $470m. These end-market buckets are analytical allocations. The company does not disclose their precise gross margins or shipment units, so the forecast uses bounded revenue and contribution assumptions rather than fabricated instrument volumes or ASPs.

Reference product contribution is 72-72.5% for data-center activities, 64% for aerospace/defense, 57% for traditional telecom and 56.5% for OSP. For transparency, all stock compensation, employer payroll tax and acquired-intangible amortization are then shown as explicit operating costs, including amounts that GAAP would

normally put in cost of goods. The resulting total operating profit is fully expensed; the displayed product contribution must not be called reported GAAP gross margin.

Annual research spending rises from $335m to $475m across 2027-2030, and selling/administration rises from $365m to $510m. Stock compensation rises from $80m to $125m, payroll taxes from $4m to $7m, while acquired-intangible amortization follows the fiscal/calendar bridge above, including the bounded DORC allowance. An additional $6m annual normal integration/restructuring reserve remains. The model does not assume future acquisition costs disappear merely because management calls them adjusted items. Further acquisitions would require a new purchase-price, amortization, dilution and funding bridge.

Probability-weighted incremental evidence

Faster CPO and OCS acceptance has a adopted 45% probability. Gross incremental sales of $120m, $240m, $400m and $600m across 2027-2030 are reduced by 75% for reference growth, existing orders and other suppliers' invoice scope. The retained conditional additions are therefore only $30m, $60m, $100m and $150m. Incremental product contribution of 72%, less 22% normal engineering, support and selling cost, gives 50% operating-profit contribution. This is a bounded proxy for further accepted systems, not a share applied mechanically to somebody else's TAM.

PNT platform conversions have a adopted 40% probability. Gross additional annual revenue of $20-80m is halved for overlap with the existing Inertial Labs ramp. A 64% product contribution and 25% incremental operating-cost burden leave 39% operating profit. The complete remaining gross earnout ceiling is reserved separately, so operating success does not receive a free pass on acquisition consideration.

Wireless recovery receives a 25% probability, with no increment in 2027 and conditional additional revenue of $30m, $60m and $80m in 2028-2030. Scale-across activity is excluded because it already belongs to the data-center bucket. The CEO's AI-RAN expectations are useful forward evidence, but they are not current customer purchase commitments.

Net value pricing has a adopted 25% probability. The case applies a 3% premium to 25% of eligible data-center revenue, then removes half for mix and cost-pass-through overlap. Incremental component and support costs consume 45% of that revenue, leaving 55% operating profit. The expected volume base includes the other optical delivery branches, so it does not charge premiums on shipments simultaneously assumed absent.

Finally, a 25% downside probability removes 12% of reference data-center revenue from the modeled year. Lost product contribution is offset partly by avoidable operating expense, giving a 47% negative operating-profit contribution. This is one combined customer qualification, delivery and architecture-timing risk. It is not stacked repeatedly under several labels.

The resulting active 2027 revenue is $2,255.5m, slightly below the strong reference, and fully expensed operating profit is $609.4m. Active operating profit rises to $868.6m, $1,161.2m and $1,440.1m in 2028-2030. Those later margins require substantial mix and fixed-cost leverage. They should be challenged if new platforms require more research, test throughput improves faster than content, or internal customer test displaces merchant instruments.

Cash, debt and conversion economics

The June balance sheet has $647.8m cash and $2m short-term investments. Restricted cash of $12m across current and long-term lines is excluded. The $600m acquisition term loan was fully repaid during FY2026. The May equity raise and earlier conversion shares are already reflected in the later common-share count and cannot be added again.

Remaining face debt is $650m: $400m 3.75% senior notes due October 1, 2029 and $250m 0.625% convertible notes due March 1, 2031. Carrying values differ because of issuance costs. The convertible uses 72.5295 shares per $1,000 principal, corresponding to approximately $13.79 per share. Its principal is settled in cash; only the excess conversion value may be settled in cash or shares at the company's election.

The adopted ceiling therefore retains the $250m principal claim and adds only conversion-premium shares. At each target, premium shares equal the greater of zero and 18.132375m less $250m divided by the target price. Solving the price and dilution together prevents the common error of charging full debt while also adding all 18.132375m underlying shares. All-cash premium settlement has the same intrinsic economic burden when solved consistently, although liquidity timing differs.

The October 2 proxy reports 245.922122m common shares outstanding on September 23. The model separately reserves the full June 10.1m unvested awards and 0.75m additional shares per future quarter. Some June awards may already have vested into the September count; retaining the full amount is deliberately conservative, not a claim that exact incremental awards are known. A zero-to-full award overlap bound belongs in future sensitivity work.

Other claims include the additional $19m DORC maximum consideration and $101.5m remaining gross Inertial Labs acquisition consideration, above the $76.9m fair value; $53.1m pension/post-employment liabilities without credit for nonfungible plan assets; $13.9m genuine financing obligations; $5.1m asset-retirement obligations; $2.9m acquisition holdbacks; and $6.5m restructuring accrual. A $150m operating cash reserve is retained. Together with debt and cash, net claims are $352.2m. The $43m operating-lease liability is not deducted again because ordinary rent remains in modeled costs.

The funding check tests all 32 combinations of the five incremental operating branches. It pays the convertible principal, maximum earnout, holdback and accrued restructuring up front, includes the $400m 2029 maturity, cash interest, financing payments, pension outlays, capex and growth working capital. It does not assume new equity or credit-line draws. Minimum cash in the tested cases is $269.9m, above the $150m reserve. This supports the adopted funding state; it is not a claim that cash is guaranteed under every recession or acquisition scenario.

VIAVI SOLUTIONS INC.
CONSOLIDATED BALANCE SHEETS
(in millions, except share and par value data)

	June 27, 2026	June 28, 2025
ASSETS		
Current assets:		
Cash and cash equivalents	$ 647.8	$ 423.6
Short-term investments	2.0	1.7
Restricted cash	6.9	3.7
Accounts receivable, net	351.3	261.0
Inventories, net	155.3	117.9
Prepayments and other current assets	93.2	77.3
Total current assets	1,256.5	885.2
Property, plant and equipment, net	224.5	231.9
Goodwill, net	700.7	595.7
Intangibles, net	377.6	131.6
Deferred income taxes	74.5	87.2
Other non-current assets	71.8	62.2
Total assets	$ 2,705.6	$ 1,993.8
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	$ 92.2	$ 68.8
Accrued payroll and related expenses	98.4	63.6
Deferred revenue	101.9	74.1
Accrued expenses	27.3	28.7
Short-term debt	244.8	246.2
Other current liabilities	115.9	108.3
Total current liabilities	680.5	589.7
Long-term debt	397.1	396.3
Other non-current liabilities	179.5	227.6
Total liabilities	1,257.1	1,213.6
Commitments and contingencies (Note 18)		
Stockholders' equity:		
Preferred stock, $0.001 par value; 1 million shares authorized, no shares issued or outstanding at June 27, 2026 and June 28, 2025	—	—
Common stock, $0.001 par value; 1 billion shares authorized; 247 million shares at June 27, 2026 and 223 million shares at June 28, 2025, issued and outstanding	0.2	0.2
Additional paid-in capital	71,252.8	70,517.9
Accumulated deficit	(69,688.5)	(69,628.1)
Accumulated other comprehensive loss	(116.0)	(109.8)
Total stockholders' equity	1,448.5	780.2
Total liabilities and stockholders' equity	$ 2,705.6	$ 1,993.8

The accompanying Notes to the Consolidated Financial Statements are an integral part of these statements.

VIAVI FY2026 Form 10-K | Annual report PDF page 55, printed page 54: unrestricted cash, restricted cash, debt carrying values and shares have different meanings.

Concurrent with the transactions discussed above, the Company repurchased and subsequently retired 2.7 million shares of its common stock for $30.0 million under the 2022 Repurchase Plan.

In connection with the issuance of the 2031 Notes, the Company incurred $6.1 million of issuance costs. The debt issuance costs were capitalized and will be amortized to interest expense using the straight-line method until maturity.

The 2031 Notes are an unsecured obligation of the Company and bear interest at an annual rate of 0.625%, payable semi-annually in arrears on March 1 and September 1 of each year, beginning March 1, 2026. The 2031 Notes mature on March 1, 2031 unless earlier converted, redeemed or repurchased.

The 2031 Notes may be converted under certain circumstances, based on an initial conversion rate of 72.5295 shares (equivalent to an initial conversion price of approximately $13.79 per share) at the option of the holders into cash up to the principal amount, with the remaining amount converted into cash, shares of the Company's common stock, or a combination of cash and shares of the Company's common stock at the Company's election. The initial conversion price represents a 25.0% premium to the closing price of the Company's common stock on the pricing date, August 13, 2025, which will be subject to customary anti-dilution adjustments.

The 2031 Notes may be converted at any time on or prior to the close of business on the business day immediately preceding December 1, 2030, in multiples of $1,000 principal amount, at the option of the holder under the following circumstances:

- On any date during any calendar quarter beginning after December 31, 2025 (and only during such calendar quarter) if the closing price of the Company's common stock was more than 130% of the then current conversion price for at least 20 trading days (whether or not consecutive) during the 30 consecutive trading-day period ending on the last trading day of the previous calendar quarter;
- If the Company distributes to all or substantially all holders of its common stock rights or warrants (other than pursuant to a stockholder rights plan) entitling them to purchase, for a period of 45 calendar days or less, shares of VIAVI's common stock at a price less than the average closing sale price of VIAVI's common stock for the ten trading days preceding the declaration date for such distribution;
- If the Company distributes to all or substantially all holders of its common stock, cash or other assets, debt securities or rights to purchase our securities (other than pursuant to a stockholder rights plan), at a per share value exceeding 10% of the closing sale price of the Company's common stock on the trading day preceding the declaration date for such distribution;
- If the Company is party to a specified transaction, a fundamental change or a make-whole fundamental change (each as defined in the indenture of the 2031 Notes);
- During the five consecutive business-day period immediately following any ten consecutive trading-day period in which the trading price per $1,000 principal amount of the 2031 Notes for each day during such ten consecutive trading-day period was less than 98% of the product of the closing sale price of VIAVI's common stock and the applicable conversion rate on such date; or
- If the Company calls any or all of the 2031 Notes for Optional Redemption.

During the periods from, and including, December 1, 2030 until the close of business on the business day immediately preceding March 1, 2031, holders may convert the 2031 Notes at any time regardless of the foregoing circumstances.

Holders of the 2031 Notes may require the Company to purchase all or a portion of the 2031 Notes upon the occurrence of a fundamental change at a purchase price equal to 100% of the principal amount of the 2031 Notes to be purchased, plus accrued and unpaid interest to, but excluding, the fundamental repurchase date.

The Company may not redeem the 2031 Notes prior to September 6, 2028. The Company may redeem for cash all or part of the 2031 Notes, at its option, on or after September 6, 2028 if the closing price of the Company's common stock was at least 130% of the then current conversion price for at least 20 trading days (whether or not consecutive) during any 30 consecutive trading day period (including the last trading day of such period) ending on, and including, the trading day immediately preceding the date on which the Company provides the redemption notice in accordance with the Indenture. If the Company redeems less than all the outstanding 2031 Notes, at least

VIAVI FY2026 Form 10-K | Annual report PDF page 86, printed page 85: 2031 notes require cash for principal; only the value above principal may be settled in shares.

Sensitivity and the next checks

Holding the dated financial claims fixed, three percentage points lower gross margin across the active earnings window gives USD 50.74; three points higher gives USD 62.01. These are margin sensitivities, not alternative company guidance. Resolving all June-award overlap by removing the 10.1m reserve would give USD 58.48; retaining it gives the adopted USD 56.38. Actual overlap requires an updated award roll-forward.

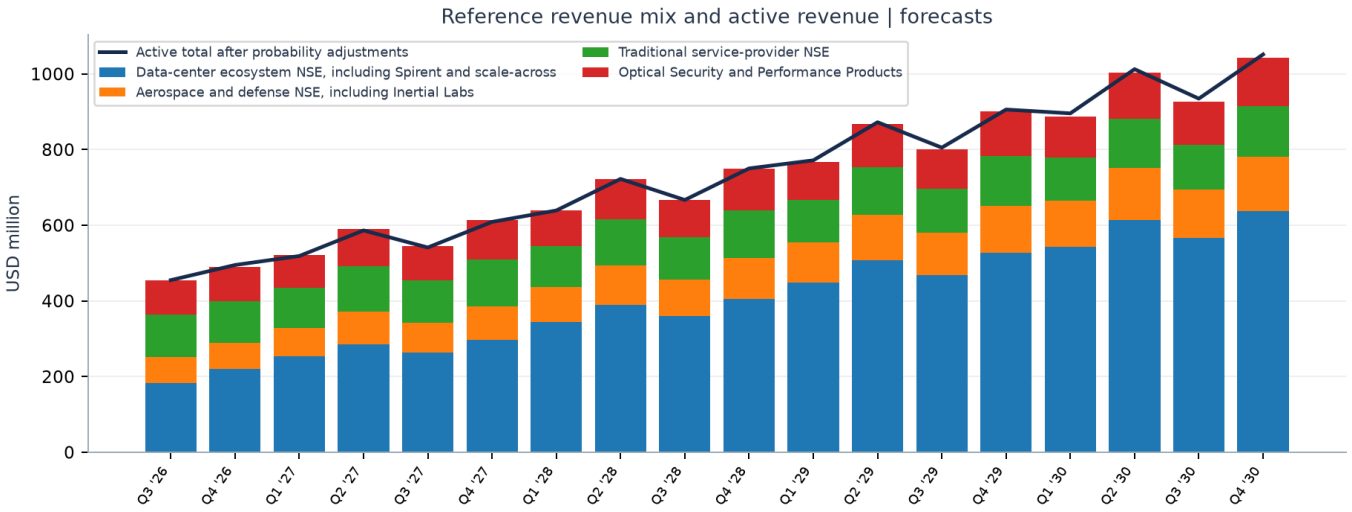
At zero incremental DORC annual amortization the active ceiling is USD 56.52; at the USD 3.8m annual upper bound it is USD 56.25. The adopted USD 2m annual allowance is a modeling assumption, not a disclosed purchase-price allocation. The maximum contingent cash claim remains reserved in every comparison.

Next checks are the September fiscal-quarter filing, DORC purchase-price allocation and payment terms, conversion and employee-award roll-forwards, and actual CPO/OCS qualification, shipment and acceptance. Margin and qualification progress matter more than a general AI spending headline. Shareholder returns remain hypothetical model upside, not historical performance.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	15	Qualified optical workflows, software and instrument integration are sticky; a dominant merchant OCS claim is not an audited monopoly.
Cycle	9	Current revenue and guidance are accelerating, with 1.6T and early CPO deliveries; wireless is still weak.
TAM	8	More optical insertions, functional tests and fiber monitoring expand the billable measurement opportunity.
Catalysts	4	Next results, CPO production qualification, OCS customer installations and defense program ramps.
Macro	7	AI connectivity and resilient navigation support spending; customer concentration, exports and tariffs remain risks.
Alpha	3	The useful distinction is more test content after throughput gains, rather than treating all optical capex as VIAVI revenue.
Risk classes	-6	Six deductions for book-and-ship visibility, competition, test-efficiency substitution, acquisition accounting, convert/earnout claims and customer program timing.
Total	40/60	Rounded Base 67. Both artifact and new workbook row use this score; this is not a manual override.

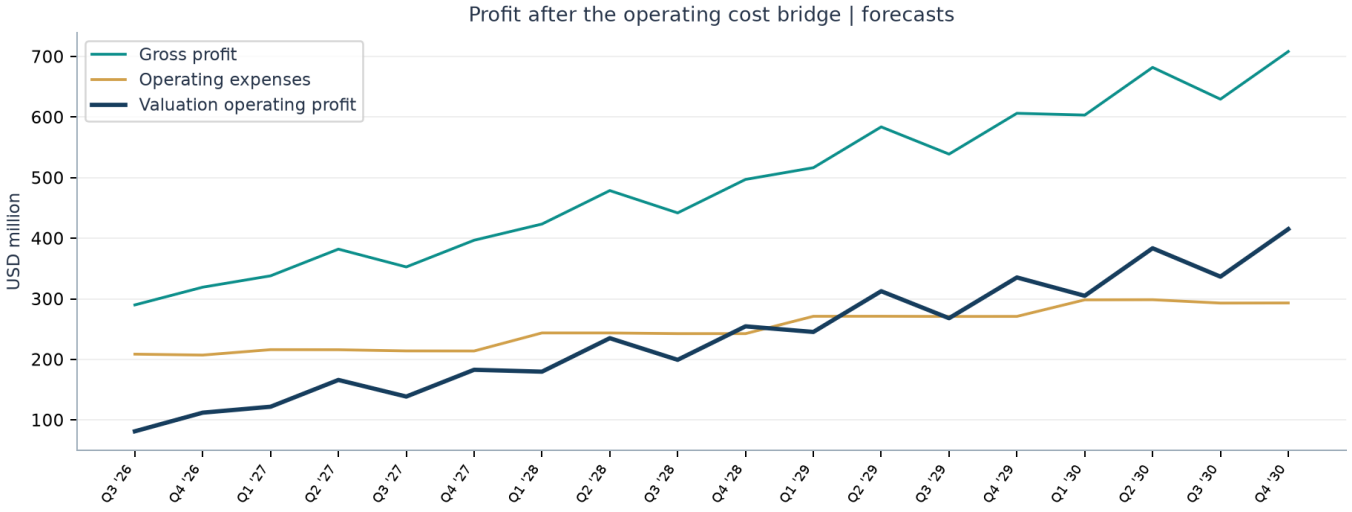
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	455.0	0.0	455.0
Q4 2026	490.0	5.0	495.0
Q1 2027	522.1	-3.3	518.8
Q2 2027	590.2	-3.8	586.4
Q3 2027	544.8	-3.5	541.3
Q4 2027	612.9	-3.9	609.0
Q1 2028	639.4	-0.3	639.1
Q2 2028	722.8	-0.3	722.5
Q3 2028	667.2	-0.3	666.9
Q4 2028	750.6	-0.3	750.3
Q1 2029	768.2	3.5	771.7
Q2 2029	868.4	4.0	872.4
Q3 2029	801.6	3.7	805.3
Q4 2029	901.8	4.1	905.9
Q1 2030	887.8	8.0	895.8
Q2 2030	1,003.6	9.1	1,012.7
Q3 2030	926.4	8.4	934.8
Q4 2030	1,042.2	9.4	1,051.6

Gross profit, operating expenses and earnings

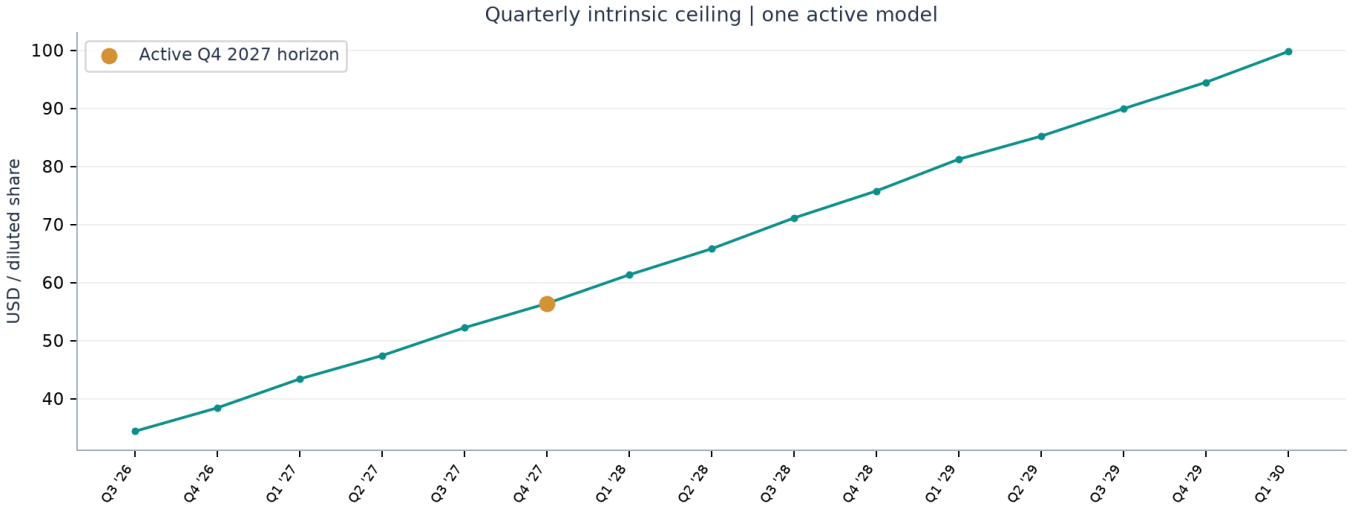


Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026 / Unreported Q1 FY2027 ending October 3, 2026 mapped to Q3 2026; midpoint revenue guidance, adjusted OP midpoint less explicit normal costs	455.0	289.9	208.6	81.3	17.9%
Q4 2026 / Q2 FY2027 / December 2026 forecast; August 17 commentary supports approaching $500m; not formal guidance	495.0	319.2	207.1	112.1	22.6%
Q1 2027 / Analytical forecast; not company guidance	518.8	337.9	216.1	121.9	23.5%
Q2 2027 / Analytical forecast; not company guidance	586.4	382.0	216.0	166.1	28.3%
Q3 2027 / Analytical forecast; not company guidance	541.3	352.6	214.0	138.7	25.6%
Q4 2027 / Analytical forecast; not company guidance	609.0	396.7	213.9	182.9	30.0%
Q1 2028 / Analytical forecast; not company guidance	639.1	423.4	243.7	179.8	28.1%

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q2 2028 / Analytical forecast; not company guidance	722.5	478.7	243.7	235.0	32.5%
Q3 2028 / Analytical forecast; not company guidance	666.9	441.9	242.6	199.3	29.9%
Q4 2028 / Analytical forecast; not company guidance	750.3	497.1	242.5	254.6	33.9%
Q1 2029 / Analytical forecast; not company guidance	771.7	516.4	271.1	245.3	31.8%
Q2 2029 / Analytical forecast; not company guidance	872.4	583.8	271.2	312.6	35.8%
Q3 2029 / Analytical forecast; not company guidance	805.3	538.9	270.9	268.0	33.3%
Q4 2029 / Analytical forecast; not company guidance	905.9	606.3	271.0	335.3	37.0%
Q1 2030 / Analytical forecast; not company guidance	895.8	603.3	298.3	305.0	34.0%
Q2 2030 / Analytical forecast; not company guidance	1,012.7	682.0	298.5	383.5	37.9%
Q3 2030 / Analytical forecast; not company guidance	934.8	629.6	293.0	336.6	36.0%
Q4 2030 / Analytical forecast; not company guidance	1,051.6	708.3	293.2	415.1	39.5%

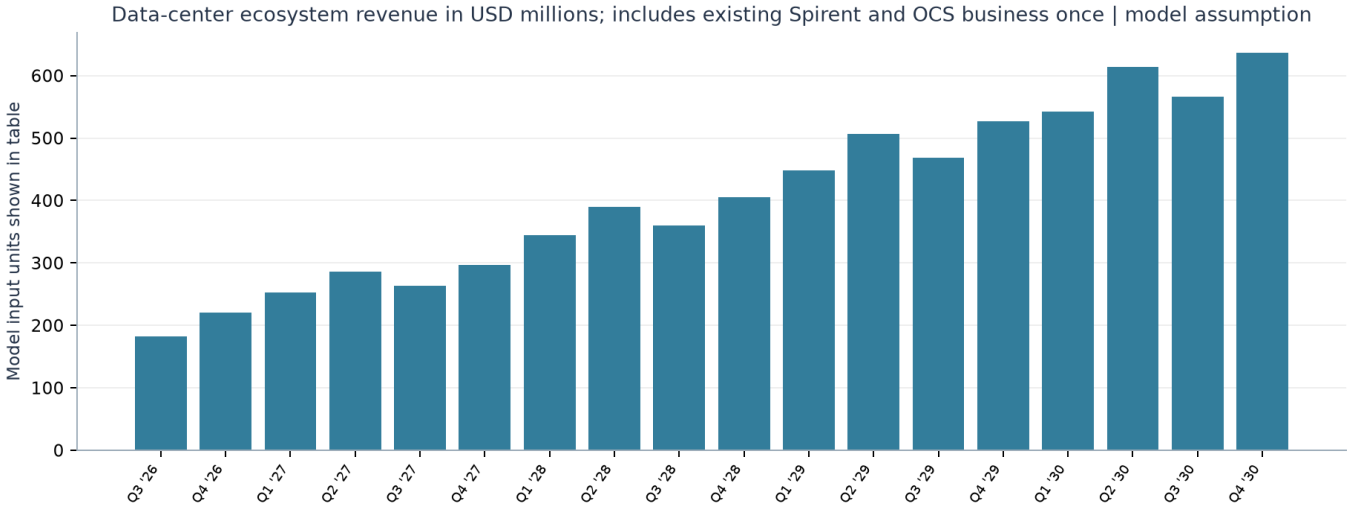
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	481.3	20x	269.879	34.36
Q4 2026	Q4 2026 to Q3 2027	538.6	20x	271.394	38.40
Q1 2027	Q1 2027 to Q4 2027	609.4	20x	272.891	43.37
Q2 2027	Q2 2027 to Q1 2028	667.3	20x	274.130	47.40
Q3 2027	Q3 2027 to Q2 2028	736.3	20x	275.365	52.20
Q4 2027	Q4 2027 to Q3 2028	796.9	20x	276.470	56.38
Q1 2028	Q1 2028 to Q4 2028	868.6	20x	277.577	61.32
Q2 2028	Q2 2028 to Q1 2029	934.2	20x	278.605	65.80
Q3 2028	Q3 2028 to Q2 2029	1,011.8	20x	279.639	71.10
Q4 2028	Q4 2028 to Q3 2029	1,080.5	20x	280.604	75.75
Q1 2029	Q1 2029 to Q4 2029	1,161.2	20x	281.577	81.23
Q2 2029	Q2 2029 to Q1 2030	1,220.9	20x	282.470	85.19
Q3 2029	Q3 2029 to Q2 2030	1,291.7	20x	283.374	89.93
Q4 2029	Q4 2029 to Q3 2030	1,360.3	20x	284.258	94.47
Q1 2030	Q1 2030 to Q4 2030	1,440.1	20x	285.149	99.77

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Data-center ecosystem revenue in USD millions; includes existing Spirent and OCS business once	Status
Q3 2026	182.000	Unreported Q1 FY2027 ending October 3, 2026 mapped to Q3 2026; midpoint revenue guidance, adjusted OP midpoint less explicit normal costs
Q4 2026	220.000	Q2 FY2027 / December 2026 forecast; August 17 commentary supports approaching $500m; not formal guidance
Q1 2027	253.000	Analytical forecast; not company guidance
Q2 2027	286.000	Analytical forecast; not company guidance
Q3 2027	264.000	Analytical forecast; not company guidance
Q4 2027	297.000	Analytical forecast; not company guidance
Q1 2028	345.000	Analytical forecast; not company guidance
Q2 2028	390.000	Analytical forecast; not company guidance
Q3 2028	360.000	Analytical forecast; not company guidance
Q4 2028	405.000	Analytical forecast; not company guidance
Q1 2029	448.500	Analytical forecast; not company guidance
Q2 2029	507.000	Analytical forecast; not company guidance
Q3 2029	468.000	Analytical forecast; not company guidance
Q4 2029	526.500	Analytical forecast; not company guidance
Q1 2030	542.800	Analytical forecast; not company guidance
Q2 2030	613.600	Analytical forecast; not company guidance

Quarter	Data-center ecosystem revenue in USD millions; includes existing Spirent and OCS business once	Status
Q3 2030	566.400	Analytical forecast; not company guidance
Q4 2030	637.200	Analytical forecast; not company guidance

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Data-center ecosystem NSE, including Spirent and scale-across	182.0	72.0%	131.0
Q3 2026	Aerospace and defense NSE, including Inertial Labs	70.0	63.0%	44.1
Q3 2026	Traditional service-provider NSE	112.0	57.0%	63.8
Q3 2026	Optical Security and Performance Products	91.0	56.0%	51.0
Q4 2026	Data-center ecosystem NSE, including Spirent and scale-across	220.0	72.0%	158.4
Q4 2026	Aerospace and defense NSE, including Inertial Labs	70.0	63.0%	44.1
Q4 2026	Traditional service-provider NSE	110.0	57.0%	62.7
Q4 2026	Optical Security and Performance Products	90.0	56.0%	50.4
Q1 2027	Data-center ecosystem NSE, including Spirent and scale-across	253.0	72.0%	182.2
Q1 2027	Aerospace and defense NSE, including Inertial Labs	75.9	64.0%	48.6
Q1 2027	Traditional service-provider NSE	105.8	57.0%	60.3
Q1 2027	Optical Security and Performance Products	87.4	56.5%	49.4
Q2 2027	Data-center ecosystem NSE, including Spirent and scale-across	286.0	72.0%	205.9
Q2 2027	Aerospace and defense NSE, including Inertial Labs	85.8	64.0%	54.9
Q2 2027	Traditional service-provider NSE	119.6	57.0%	68.2
Q2 2027	Optical Security and Performance Products	98.8	56.5%	55.8
Q3 2027	Data-center ecosystem NSE, including Spirent and scale-across	264.0	72.0%	190.1
Q3 2027	Aerospace and defense NSE, including Inertial Labs	79.2	64.0%	50.7
Q3 2027	Traditional service-provider NSE	110.4	57.0%	62.9
Q3 2027	Optical Security and Performance Products	91.2	56.5%	51.5

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2027	Data-center ecosystem NSE, including Spirent and scale-across	297.0	72.0%	213.8
Q4 2027	Aerospace and defense NSE, including Inertial Labs	89.1	64.0%	57.0
Q4 2027	Traditional service-provider NSE	124.2	57.0%	70.8
Q4 2027	Optical Security and Performance Products	102.6	56.5%	58.0
Q1 2028	Data-center ecosystem NSE, including Spirent and scale-across	345.0	72.5%	250.1
Q1 2028	Aerospace and defense NSE, including Inertial Labs	92.0	64.0%	58.9
Q1 2028	Traditional service-provider NSE	108.1	57.0%	61.6
Q1 2028	Optical Security and Performance Products	94.3	56.5%	53.3
Q2 2028	Data-center ecosystem NSE, including Spirent and scale-across	390.0	72.5%	282.8
Q2 2028	Aerospace and defense NSE, including Inertial Labs	104.0	64.0%	66.6
Q2 2028	Traditional service-provider NSE	122.2	57.0%	69.7
Q2 2028	Optical Security and Performance Products	106.6	56.5%	60.2
Q3 2028	Data-center ecosystem NSE, including Spirent and scale-across	360.0	72.5%	261.0
Q3 2028	Aerospace and defense NSE, including Inertial Labs	96.0	64.0%	61.4
Q3 2028	Traditional service-provider NSE	112.8	57.0%	64.3
Q3 2028	Optical Security and Performance Products	98.4	56.5%	55.6
Q4 2028	Data-center ecosystem NSE, including Spirent and scale-across	405.0	72.5%	293.6
Q4 2028	Aerospace and defense NSE, including Inertial Labs	108.0	64.0%	69.1
Q4 2028	Traditional service-provider NSE	126.9	57.0%	72.3
Q4 2028	Optical Security and Performance Products	110.7	56.5%	62.5
Q1 2029	Data-center ecosystem NSE, including Spirent and scale-across	448.5	72.5%	325.2
Q1 2029	Aerospace and defense NSE, including Inertial Labs	107.0	64.0%	68.4

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2029	Traditional service-provider NSE	111.6	57.0%	63.6
Q1 2029	Optical Security and Performance Products	101.2	56.5%	57.2
Q2 2029	Data-center ecosystem NSE, including Spirent and scale-across	507.0	72.5%	367.6
Q2 2029	Aerospace and defense NSE, including Inertial Labs	120.9	64.0%	77.4
Q2 2029	Traditional service-provider NSE	126.1	57.0%	71.9
Q2 2029	Optical Security and Performance Products	114.4	56.5%	64.6
Q3 2029	Data-center ecosystem NSE, including Spirent and scale-across	468.0	72.5%	339.3
Q3 2029	Aerospace and defense NSE, including Inertial Labs	111.6	64.0%	71.4
Q3 2029	Traditional service-provider NSE	116.4	57.0%	66.3
Q3 2029	Optical Security and Performance Products	105.6	56.5%	59.7
Q4 2029	Data-center ecosystem NSE, including Spirent and scale-across	526.5	72.5%	381.7
Q4 2029	Aerospace and defense NSE, including Inertial Labs	125.6	64.0%	80.4
Q4 2029	Traditional service-provider NSE	131.0	57.0%	74.6
Q4 2029	Optical Security and Performance Products	118.8	56.5%	67.1
Q1 2030	Data-center ecosystem NSE, including Spirent and scale-across	542.8	72.5%	393.5
Q1 2030	Aerospace and defense NSE, including Inertial Labs	121.9	64.0%	78.0
Q1 2030	Traditional service-provider NSE	115.0	57.0%	65.5
Q1 2030	Optical Security and Performance Products	108.1	56.5%	61.1
Q2 2030	Data-center ecosystem NSE, including Spirent and scale-across	613.6	72.5%	444.9
Q2 2030	Aerospace and defense NSE, including Inertial Labs	137.8	64.0%	88.2
Q2 2030	Traditional service-provider NSE	130.0	57.0%	74.1
Q2 2030	Optical Security and Performance Products	122.2	56.5%	69.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2030	Data-center ecosystem NSE, including Spirent and scale-across	566.4	72.5%	410.6
Q3 2030	Aerospace and defense NSE, including Inertial Labs	127.2	64.0%	81.4
Q3 2030	Traditional service-provider NSE	120.0	57.0%	68.4
Q3 2030	Optical Security and Performance Products	112.8	56.5%	63.7
Q4 2030	Data-center ecosystem NSE, including Spirent and scale-across	637.2	72.5%	462.0
Q4 2030	Aerospace and defense NSE, including Inertial Labs	143.1	64.0%	91.6
Q4 2030	Traditional service-provider NSE	135.0	57.0%	76.9
Q4 2030	Optical Security and Performance Products	126.9	56.5%	71.7

Operating-cost derivation

Quarter	Research and development excluding separately itemized stock compensation	Selling and administration excluding separately itemized stock compensation	All stock compensation including production allocations	Employer payroll taxes on equity awards	Existing acquired-intangible amortization; fiscal schedule mapped to calendar quarter	Normal restructuring, integration and contingent-cost reserve	DORC acquired-intangible amortization allowance; allocation unreported
Q3 2026	72.0	94.6	17.0	1.0	20.5	3.0	0.5
Q4 2026	75.0	91.0	17.5	1.0	19.0	2.0	0.5
Q1 2027	83.8	91.2	20.0	1.0	19.0	1.5	0.5
Q2 2027	83.8	91.2	20.0	1.0	19.0	1.5	0.5
Q3 2027	83.8	91.2	20.0	1.0	17.0	1.5	0.5
Q4 2027	83.8	91.2	20.0	1.0	17.0	1.5	0.5
Q1 2028	96.2	103.8	23.8	1.2	17.0	1.5	0.5
Q2 2028	96.2	103.8	23.8	1.2	17.0	1.5	0.5
Q3 2028	96.2	103.8	23.8	1.2	15.8	1.5	0.5
Q4 2028	96.2	103.8	23.8	1.2	15.8	1.5	0.5
Q1 2029	108.8	115.0	27.5	1.5	15.8	1.5	0.5
Q2 2029	108.8	115.0	27.5	1.5	15.8	1.5	0.5
Q3 2029	108.8	115.0	27.5	1.5	15.6	1.5	0.5
Q4 2029	108.8	115.0	27.5	1.5	15.6	1.5	0.5
Q1 2030	118.8	127.5	31.2	1.8	15.6	1.5	0.5
Q2 2030	118.8	127.5	31.2	1.8	15.6	1.5	0.5
Q3 2030	118.8	127.5	31.2	1.8	10.2	1.5	0.5
Q4 2030	118.8	127.5	31.2	1.8	10.2	1.5	0.5

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	FASTER CPO OCS ACCEPTANCE	45%	0.0	0.0	0.0	0.0
Q3 2026	PNT DESIGN CONVERSIONS	40%	0.0	0.0	0.0	0.0
Q3 2026	WIRELESS RECOVERY	25%	0.0	0.0	0.0	0.0
Q3 2026	VALUE PRICE NET PREMIUM	25%	0.0	0.0	0.0	0.0
Q3 2026	DATA CENTER TIMING RISK	25%	0.0	0.0	0.0	0.0
Q4 2026	FASTER CPO OCS ACCEPTANCE	50%	10.0	7.2	2.2	2.5
Q4 2026	PNT DESIGN CONVERSIONS	40%	0.0	0.0	0.0	0.0
Q4 2026	WIRELESS RECOVERY	25%	0.0	0.0	0.0	0.0
Q4 2026	VALUE PRICE NET PREMIUM	25%	0.0	0.0	0.0	0.0
Q4 2026	DATA CENTER TIMING RISK	25%	0.0	0.0	0.0	0.0
Q1 2027	FASTER CPO OCS ACCEPTANCE	45%	6.9	5.0	1.5	1.6
Q1 2027	PNT DESIGN CONVERSIONS	40%	2.3	1.5	0.6	0.4
Q1 2027	WIRELESS RECOVERY	25%	0.0	0.0	0.0	0.0
Q1 2027	VALUE PRICE NET PREMIUM	25%	0.9	0.7	0.1	0.1
Q1 2027	DATA CENTER TIMING RISK	25%	-30.4	-21.9	-7.6	-3.6
Q2 2027	FASTER CPO OCS ACCEPTANCE	45%	7.8	5.6	1.7	1.8
Q2 2027	PNT DESIGN CONVERSIONS	40%	2.6	1.7	0.7	0.4
Q2 2027	WIRELESS RECOVERY	25%	0.0	0.0	0.0	0.0
Q2 2027	VALUE PRICE NET PREMIUM	25%	1.1	0.7	0.2	0.1
Q2 2027	DATA CENTER TIMING RISK	25%	-34.3	-24.7	-8.6	-4.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2027	FASTER CPO OCS ACCEPTANCE	45%	7.2	5.2	1.6	1.6
Q3 2027	PNT DESIGN CONVERSIONS	40%	2.4	1.5	0.6	0.4
Q3 2027	WIRELESS RECOVERY	25%	0.0	0.0	0.0	0.0
Q3 2027	VALUE PRICE NET PREMIUM	25%	1.0	0.7	0.1	0.1
Q3 2027	DATA CENTER TIMING RISK	25%	-31.7	-22.8	-7.9	-3.7
Q4 2027	FASTER CPO OCS ACCEPTANCE	45%	8.1	5.8	1.8	1.8
Q4 2027	PNT DESIGN CONVERSIONS	40%	2.7	1.7	0.7	0.4
Q4 2027	WIRELESS RECOVERY	25%	0.0	0.0	0.0	0.0
Q4 2027	VALUE PRICE NET PREMIUM	25%	1.1	0.8	0.2	0.2
Q4 2027	DATA CENTER TIMING RISK	25%	-35.6	-25.7	-8.9	-4.2
Q1 2028	FASTER CPO OCS ACCEPTANCE	45%	13.8	9.9	3.0	3.1
Q1 2028	PNT DESIGN CONVERSIONS	40%	4.6	2.9	1.2	0.7
Q1 2028	WIRELESS RECOVERY	25%	6.9	4.5	1.7	0.7
Q1 2028	VALUE PRICE NET PREMIUM	25%	1.3	0.9	0.2	0.2
Q1 2028	DATA CENTER TIMING RISK	25%	-41.4	-29.8	-10.3	-4.9
Q2 2028	FASTER CPO OCS ACCEPTANCE	45%	15.6	11.2	3.4	3.5
Q2 2028	PNT DESIGN CONVERSIONS	40%	5.2	3.3	1.3	0.8
Q2 2028	WIRELESS RECOVERY	25%	7.8	5.1	2.0	0.8
Q2 2028	VALUE PRICE NET PREMIUM	25%	1.4	1.0	0.2	0.2
Q2 2028	DATA CENTER TIMING RISK	25%	-46.8	-33.7	-11.7	-5.5
Q3 2028	FASTER CPO OCS ACCEPTANCE	45%	14.4	10.4	3.2	3.2

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2028	PNT DESIGN CONVERSIONS	40%	4.8	3.1	1.2	0.7
Q3 2028	WIRELESS RECOVERY	25%	7.2	4.7	1.8	0.7
Q3 2028	VALUE PRICE NET PREMIUM	25%	1.3	0.9	0.2	0.2
Q3 2028	DATA CENTER TIMING RISK	25%	-43.2	-31.1	-10.8	-5.1
Q4 2028	FASTER CPO OCS ACCEPTANCE	45%	16.2	11.7	3.6	3.6
Q4 2028	PNT DESIGN CONVERSIONS	40%	5.4	3.5	1.4	0.8
Q4 2028	WIRELESS RECOVERY	25%	8.1	5.3	2.0	0.8
Q4 2028	VALUE PRICE NET PREMIUM	25%	1.5	1.1	0.2	0.2
Q4 2028	DATA CENTER TIMING RISK	25%	-48.6	-35.0	-12.2	-5.7
Q1 2029	FASTER CPO OCS ACCEPTANCE	45%	23.0	16.6	5.1	5.2
Q1 2029	PNT DESIGN CONVERSIONS	40%	6.9	4.4	1.7	1.1
Q1 2029	WIRELESS RECOVERY	25%	13.8	9.0	3.5	1.4
Q1 2029	VALUE PRICE NET PREMIUM	25%	1.7	1.2	0.3	0.2
Q1 2029	DATA CENTER TIMING RISK	25%	-53.8	-38.8	-13.5	-6.3
Q2 2029	FASTER CPO OCS ACCEPTANCE	45%	26.0	18.7	5.7	5.9
Q2 2029	PNT DESIGN CONVERSIONS	40%	7.8	5.0	2.0	1.2
Q2 2029	WIRELESS RECOVERY	25%	15.6	10.1	3.9	1.6
Q2 2029	VALUE PRICE NET PREMIUM	25%	1.9	1.3	0.3	0.3
Q2 2029	DATA CENTER TIMING RISK	25%	-60.8	-43.8	-15.2	-7.1
Q3 2029	FASTER CPO OCS ACCEPTANCE	45%	24.0	17.3	5.3	5.4
Q3 2029	PNT DESIGN CONVERSIONS	40%	7.2	4.6	1.8	1.1
Q3 2029	WIRELESS RECOVERY	25%	14.4	9.4	3.6	1.4

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2029	VALUE PRICE NET PREMIUM	25%	1.7	1.2	0.3	0.2
Q3 2029	DATA CENTER TIMING RISK	25%	-56.2	-40.4	-14.0	-6.6
Q4 2029	FASTER CPO OCS ACCEPTANCE	45%	27.0	19.4	5.9	6.1
Q4 2029	PNT DESIGN CONVERSIONS	40%	8.1	5.2	2.0	1.3
Q4 2029	WIRELESS RECOVERY	25%	16.2	10.5	4.1	1.6
Q4 2029	VALUE PRICE NET PREMIUM	25%	2.0	1.4	0.3	0.3
Q4 2029	DATA CENTER TIMING RISK	25%	-63.2	-45.5	-15.8	-7.4
Q1 2030	FASTER CPO OCS ACCEPTANCE	45%	34.5	24.8	7.6	7.8
Q1 2030	PNT DESIGN CONVERSIONS	40%	9.2	5.9	2.3	1.4
Q1 2030	WIRELESS RECOVERY	25%	18.4	12.0	4.6	1.8
Q1 2030	VALUE PRICE NET PREMIUM	25%	2.0	1.4	0.3	0.3
Q1 2030	DATA CENTER TIMING RISK	25%	-65.1	-46.9	-16.3	-7.7
Q2 2030	FASTER CPO OCS ACCEPTANCE	45%	39.0	28.1	8.6	8.8
Q2 2030	PNT DESIGN CONVERSIONS	40%	10.4	6.7	2.6	1.6
Q2 2030	WIRELESS RECOVERY	25%	20.8	13.5	5.2	2.1
Q2 2030	VALUE PRICE NET PREMIUM	25%	2.3	1.6	0.3	0.3
Q2 2030	DATA CENTER TIMING RISK	25%	-73.6	-53.0	-18.4	-8.7
Q3 2030	FASTER CPO OCS ACCEPTANCE	45%	36.0	25.9	7.9	8.1
Q3 2030	PNT DESIGN CONVERSIONS	40%	9.6	6.1	2.4	1.5
Q3 2030	WIRELESS RECOVERY	25%	19.2	12.5	4.8	1.9
Q3 2030	VALUE PRICE NET PREMIUM	25%	2.1	1.5	0.3	0.3

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2030	DATA CENTER TIMING RISK	25%	-68.0	-48.9	-17.0	-8.0
Q4 2030	FASTER CPO OCS ACCEPTANCE	45%	40.5	29.2	8.9	9.1
Q4 2030	PNT DESIGN CONVERSIONS	40%	10.8	6.9	2.7	1.7
Q4 2030	WIRELESS RECOVERY	25%	21.6	14.0	5.4	2.2
Q4 2030	VALUE PRICE NET PREMIUM	25%	2.4	1.7	0.4	0.3
Q4 2030	DATA CENTER TIMING RISK	25%	-76.5	-55.1	-19.1	-9.0

Enterprise-to-equity reconciliation

Owner authorized October 11, 2026: 20x fully expensed forward-four-quarter operating profit, less dated pro-forma financial claims, divided by end-window common and award shares plus dynamically solved convertible premium shares. Principal is a cash claim; only the conversion premium dilutes common shares. No unexplained terminal discount remains.

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q3 2026	Q2 2027	352.2	0.0	352.2	34.36
Q4 2026	Q3 2027	352.2	0.0	352.2	38.40
Q1 2027	Q4 2027	352.2	0.0	352.2	43.37
Q2 2027	Q1 2028	352.2	0.0	352.2	47.40
Q3 2027	Q2 2028	352.2	0.0	352.2	52.20
Q4 2027	Q3 2028	352.2	0.0	352.2	56.38
Q1 2028	Q4 2028	352.2	0.0	352.2	61.32
Q2 2028	Q1 2029	352.2	0.0	352.2	65.80
Q3 2028	Q2 2029	352.2	0.0	352.2	71.10
Q4 2028	Q3 2029	352.2	0.0	352.2	75.75
Q1 2029	Q4 2029	352.2	0.0	352.2	81.23
Q2 2029	Q1 2030	352.2	0.0	352.2	85.19
Q3 2029	Q2 2030	352.2	0.0	352.2	89.93
Q4 2029	Q3 2030	352.2	0.0	352.2	94.47
Q1 2030	Q4 2030	352.2	0.0	352.2	99.77

The financial claims shown here are matched to the end of each four-quarter earnings window. Operating-quarter cash and claims schedules elsewhere show balances at their own quarter dates.

Claim decisions, overlap and triggers

FASTER_CPO_OCS_ACCEPTANCE

probability: 0.45

Conditional: CY2027/28/29/30 gross additional CPO/OCS opportunity $120/240/400/600m; retain 25% after 75% reference-growth, existing orders and invoice-scope overlap. December 2026 separately has 50% probability of $10m above the $490m reference.

bounds: Forward probability 25-65%; gross CY2027 $60-180m; retained fraction 10-40%.

overlap: The reference DC ramp already contains 1.6T, OCS, Spirent and initial CPO. No partner ATE or customer switch invoice is added. Throughput gains and in-house test reduce the gross opportunity.

bridge: 72% incremental product contribution less 22% engineering, support, selling and normal equity costs = 50% OP.

source: August 5 and August 17 management discussions; September 14 SENKO demonstration is qualification evidence, not a purchase order.

PNT_DESIGN_CONVERSIONS

probability: 0.4

Conditional: Gross additional $20/40/60/80m CY2027/28/29/30 platform revenue; retain 50% after existing Inertial Labs growth overlap.

bounds: Probability 20-60%, gross CY2027 $10-40m.

overlap: Acquisition revenue and full first-year consolidation already sit in reference A&D. Program wins require customer production releases.

bridge: 64% GP less 25% normal costs = 39% OP; maximum remaining acquisition consideration is separately reserved in claims.

source: Latest two earnings calls and August 17 CEO discussion of resilient PNT platform awards.

WIRELESS_RECOVERY

probability: 0.25

Conditional: Incremental $0/30/60/80m CY2027/28/29/30 above slow reference service-provider growth.

bounds: Probability 10-45%; later annual opportunity $0-100m.

overlap: Scale-across fiber and hyperscaler-linked carrier sales belong to DC, not this branch. AI-RAN is an emerging opportunity, not present contracted revenue.

bridge: 65% GP less 25% continuing development and selling = 40% OP.

source: April 29 and August 17 management comments place possible wireless recovery beyond the immediate AI optical buildout.

VALUE_PRICE_NET_PREMIUM

probability: 0.25

Conditional: 3% premium on 25% of DC reference plus probability-weighted faster deliveries and delay, then remove 50% for mix/pass-through overlap.

bounds: Probability 10-40%; premium 0-5%; eligible new/repriceable sales 10-35%.

overlap: The roughly 50% 1.6T box ASP uplift also pays for higher component costs and is already included in reference mix. This is only residual net value capture; fixed orders excluded.

bridge: 30% incremental cost of goods and 15% engineering/support leave 55% OP.

source: August 17 CEO explains both higher tester box prices and lower cost per bit.

DATA_CENTER_TIMING_RISK

probability: 0.25

Conditional: 12% of reference DC revenue is not accepted within the modeled year.

bounds: Probability 15-40%; delay 5-20%.

overlap: One combined qualification, customer-capacity and architectural-timing downside. No separate duplicate haircut for the same optical bottleneck.

bridge: 72% lost contribution less 25% avoidable operating cost = 47% negative OP.

source: Annual customer order and supplier risks, capacity-before-utilization behavior and absence of binding multiyear VIAVI forecasts.

APPROVED_METHOD_FINAL_COST_CAPITAL_BRIDGE

owner authorization: 20x fully expensed F4Q OP explicitly approved October11. Legacy50-65 range has no comparable horizon; no revision percentage.

DORC: July9 closed;14m base plus up to5m contingent, all19m reserved in pro-forma claims. No new speculative sales credit.

amortization: Annual FY2027-2031 existing schedule77.6/67.9/63.4/62.4/40.7m. FY2027 allocated14/53,13/53,13/53,13/53 for modeled fiscal weeks; thereafter four equal quarters. DORC additional0.5m everyquarter fromacquisition; annual bound0-3.8m. All are ASTRA cost allocation assumptions, not issuer GAAP guidance.

tariff: July11m receipt already informs the September guidance bridge; no second cash or earnings addition.

premium: Each target, reference, share-stress and multiple change solves premium=max(0,18.132375-250/target). Cash principal remains in claims.

funding: scenarios: 32 minimum cash after DORC reserve: 269.9 reserve: 150 funding gaps: 0 cash treatment: Deduct full19m acquisition cash reservation from all paths; amortization corrections offset by matched noncash addbacks. No incremental tax shield assumed. July tariff cash not added again to guidance-based cash.

Remaining bounded uncertainties

- Revenue, gross margins and unit/ASP splits by end market are model allocations, not reported segments. FY2026 NSE and OSP totals remain the factual anchors.

- August 17 transcript says high 30% margin at $500m while the question asks 30%; without audio reconciliation this potentially erroneous wording is not used as a firm margin target.

- Full June unvested award reserve may include awards vested before the September common count; this deliberately conservative reserve is bounded separately pending the next 10-Q.

- Maximum residual earnout reserve $101.5m is above $76.9m fair value; timing and retention-bonus interactions remain a disclosed bound.

- Gross contribution vectors place all equity costs and acquired-technology amortization in explicit total operating costs to preserve fully expensed OP; they must not be labelled reported GAAP gross margin.

- Financial claims are fixed at a dated conservative snapshot. Operating sensitivities holding that snapshot fixed are not full projected financing counterfactuals; each ceiling/multiple requires resolving conversion-premium shares.

- DORC purchase-price allocation and final customary adjustments are unavailable. Use USD2m annual amortization (USD10m acquired intangibles over five years), bounded0-3.8m annually, from the acquisition quarter until the next filing. No incremental DORC revenue or synergy is added above existing guidance and growth.

- September fully expensed cost bridge is an ASTRA estimate, not issuer GAAP guidance. Existing amortization follows the disclosed fiscal schedule; a separate DORC allowance is included because adjusted guidance excludes acquired amortization.

- The full USD5m contingent DORC consideration is reserved as a conservative funding bound, not a claim that payment is certain. Exact cash timing and purchase-price adjustments remain open.

- Workbook probabilities and multiples recalculate conversion premium shares. Financial claims remain at the adopted pro-forma balance; adopting a revised business forecast requires a fresh liquidity review.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Annual 10K | 2026-08-13 | https://s201.q4cdn.com/299643651/files/doc_financials/2026/ar/5383cf18-ca9a-40bd-a8af-264c6faddafd.pdf | Archived SHA-256: d730ca44910178c5bed87847aa34be84b68a67764a48b2b03e00eb8aac307736

[2] Proxy | 2026-10-02 | https://s201.q4cdn.com/299643651/files/doc_financials/2026/ar/FY26-FINAL-BOOKMARKED-PDF-WEB-HOSTING.pdf | Archived SHA-256: a0256f99156b7c0291e73c4217abec464f401f3e2680f085701dc81d727dbbe7

[3] Q4 release | 2026-08-05 | https://www.sec.gov/Archives/edgar/data/912093/000162828026053381/viavq4fy268-kex991.htm | Archived SHA-256: 46b4d8679aa897fe0e5724d7899d9fc2dccf5d86dcd730f7edf658fc2a40c59b

[4] Q4 call | 2026-08-05 | https://stockanalysis.com/stocks/viav/transcripts/657349-q4-2026/ | Archived SHA-256: 1efef0b988cb9b33fefe6a2e2cc4ff60129844947311297ff31db1c82eba4988

[5] Q3 call | 2026-04-29 | https://stockanalysis.com/stocks/viav/transcripts/547901-q3-2026/ | Archived SHA-256: 6bacf1b849eae3cab47b41c542a0dcf0ef0f3d2108110d14edf821b5ddc5e8ea

[6] SENKO CPO demonstration | 2026-09-14 | https://www.senko.com/es/senko-advantest-and-viavi-collaborate-to-address-a-hidden-bottleneck-in-cpo-module-level-testing/ | Archived SHA-256: 63c8a710838f3f37e2ff9e8221bfd373ecdf6633f1fcc66a8fcefbea06b3a0b2

[7] August management conference | 2026-08-17 | https://stockanalysis.com/stocks/viav/transcripts/731741-rosenblatt-s-6th-annual-technology-summit-the-age-of-ai-part-ii/ | Archived SHA-256: 1eb2b9ffb647d0d4bac2f83bc3c69c40078fb5d9e43e3bbd855c7dfe7ceee35d